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**Financial
Instruments**

**9 Months Ended
Jun. 25, 2022**

[Investments, All
Other Investments
\[Abstract\]](#)

Financial Instruments

Cash, Cash Equivalents and Marketable Securities

The following tables show the Company's cash, cash equivalents and marketable securities by significant investment category as of June 25, 2022 and September 25, 2021 (in millions):

[Financial
Instruments](#)

June 25, 2022

	Adjusted Cost	Unrealized Gains	Unrealized Losses	Fair Value	Cash and Cash Equivalents	Current Marketable Securities	Non- Current Marketable Securities
Cash	\$ 12,852	\$ —	\$ —	\$ 12,852	\$ 12,852	\$ —	\$ —
Level 1 ⁽¹⁾ :							
Money market funds	10,970	—	—	10,970	10,970	—	—
Mutual funds	252	—	(32)	220	—	220	—
Subtotal	11,222	—	(32)	11,190	10,970	220	—
Level 2 ⁽²⁾ :							
U.S. Treasury securities	25,296	—	(1,328)	23,968	91	3,511	20,366
U.S. agency securities	5,805	—	(511)	5,294	4	240	5,050
Non-U.S. government securities	17,597	6	(1,023)	16,580	—	6,336	10,244
Certificates of deposit and time deposits	3,928	—	—	3,928	3,374	504	50
Commercial paper	966	—	—	966	209	757	—
Corporate debt securities	88,912	15	(6,455)	82,472	2	8,738	73,732
Municipal securities	978	—	(26)	952	—	203	749
Mortgage- and asset- backed securities	23,058	—	(1,952)	21,106	—	220	20,886
Subtotal	166,540	21	(11,295)	155,266	3,680	20,509	131,077
Total ⁽³⁾	\$190,614	\$ 21	\$ (11,327)	\$179,308	\$ 27,502	\$ 20,729	\$ 131,077

September 25, 2021

	Adjusted Cost	Unrealized Gains	Unrealized Losses	Fair Value	Cash and Cash Equivalents	Current Marketable Securities	Non- Current Marketable Securities
Cash	\$ 17,305	\$ —	\$ —	\$ 17,305	\$ 17,305	\$ —	\$ —
Level 1 ⁽¹⁾ :							
Money market funds	9,608	—	—	9,608	9,608	—	—
Mutual funds	175	11	(1)	185	—	185	—
Subtotal	9,783	11	(1)	9,793	9,608	185	—
Level 2 ⁽²⁾ :							
Equity securities	1,527	—	(564)	963	—	963	—
U.S. Treasury securities	22,878	102	(77)	22,903	3,596	6,625	12,682
U.S. agency securities	8,949	2	(64)	8,887	1,775	1,930	5,182
Non-U.S. government securities	20,201	211	(101)	20,311	390	3,091	16,830
Certificates of deposit and time deposits	1,300	—	—	1,300	490	810	—
Commercial paper	2,639	—	—	2,639	1,776	863	—
Corporate debt securities	83,883	1,242	(267)	84,858	—	12,327	72,531
Municipal securities	967	14	—	981	—	130	851
Mortgage- and asset- backed securities	20,529	171	(124)	20,576	—	775	19,801
Subtotal	162,873	1,742	(1,197)	163,418	8,027	27,514	127,877
Total ⁽³⁾	<u>\$189,961</u>	<u>\$ 1,753</u>	<u>\$ (1,198)</u>	<u>\$190,516</u>	<u>\$ 34,940</u>	<u>\$ 27,699</u>	<u>\$ 127,877</u>

(1) Level 1 fair value estimates are based on quoted prices in active markets for identical assets or liabilities.

- (2) Level 2 fair value estimates are based on observable inputs other than quoted prices in active markets for identical assets and liabilities, quoted prices for identical or similar assets or liabilities in inactive markets, or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities.
- (3) As of June 25, 2022 and September 25, 2021, total marketable securities included \$14.1 billion and \$17.9 billion, respectively, that were restricted from general use, related to the European Commission decision finding that Ireland granted state aid to the Company, and other agreements.

The following table shows the fair value of the Company's non-current marketable debt securities, by contractual maturity, as of June 25, 2022 (in millions):

Due after 1 year through 5 years	\$ 92,970
Due after 5 years through 10 years	19,317
Due after 10 years	18,790
Total fair value	<u>\$ 131,077</u>

Derivative Instruments and Hedging

The Company may use derivative instruments to partially offset its business exposure to foreign exchange and interest rate risk. However, the Company may choose not to hedge certain exposures for a variety of reasons, including accounting considerations or the prohibitive economic cost of hedging particular exposures. There can be no assurance the hedges will offset more than a portion of the financial impact resulting from movements in foreign exchange or interest rates.

Foreign Exchange Risk

To protect gross margins from fluctuations in foreign currency exchange rates, the Company may enter into forward contracts, option contracts or other instruments, and may designate these instruments as cash flow hedges. The Company generally hedges portions of its forecasted foreign currency exposure associated with revenue and inventory purchases, typically for up to 12 months.

To protect the Company's foreign currency-denominated term debt or marketable securities from fluctuations in foreign currency exchange rates, the Company may enter into forward contracts, cross-currency swaps or other instruments. The Company designates these instruments as either cash flow or fair value hedges. As of June 25, 2022, the Company's hedged term debt- and marketable securities-related foreign currency transactions are expected to be recognized within 20 years.

The Company may also enter into derivative instruments that are not designated as accounting hedges to protect gross margins from certain fluctuations in foreign currency exchange rates, as well as to offset a portion of the foreign currency exchange gains and losses generated by the remeasurement of certain assets and liabilities denominated in non-functional currencies.

Interest Rate Risk

To protect the Company's term debt or marketable securities from fluctuations in interest rates, the Company may enter into interest rate swaps, options or other instruments. The Company designates these instruments as either cash flow or fair value hedges.

The notional amounts of the Company's outstanding derivative instruments as of June 25, 2022 and September 25, 2021 were as follows (in millions):

	June 25, 2022	September 25, 2021
Derivative instruments designated as accounting hedges:		
Foreign exchange contracts	\$ 76,234	\$ 76,475
Interest rate contracts	\$ 20,775	\$ 16,875
Derivative instruments not designated as accounting hedges:		
Foreign exchange contracts	\$ 84,506	\$ 126,918

The gross fair values of the Company's derivative assets and liabilities were not material as of June 25, 2022 and September 25, 2021.

The gains and losses recognized in other comprehensive income/(loss) and amounts reclassified from accumulated other comprehensive income/(loss) to net income for the Company's derivative instruments designated as cash flow hedges were not material in the three- and nine-month periods ended June 25, 2022 and June 26, 2021.

The carrying amounts of the Company's hedged items in fair value hedges as of June 25, 2022 and September 25, 2021 were as follows (in millions):

	June 25, 2022	September 25, 2021
Hedged assets/(liabilities):		
Current and non-current marketable securities	\$ 14,250	\$ 15,954
Current and non-current term debt	\$ (19,281)	\$ (17,857)

The gains and losses on the Company's derivative instruments designated as fair value hedges and the related hedged item adjustments were not material in the three- and nine-month periods ended June 25, 2022 and June 26, 2021.

Accounts Receivable

Trade Receivables

The Company has considerable trade receivables outstanding with its third-party cellular network carriers, wholesalers, retailers, resellers, small and mid-sized businesses and education, enterprise and government customers. The Company generally does not require collateral from its customers; however, the Company will require collateral or third-party credit support in certain instances to limit credit risk. In addition, when possible, the Company attempts to limit credit risk on trade receivables with credit insurance for certain customers or by requiring third-party financing, loans or leases to support credit exposure. These credit-financing arrangements are directly between the third-party financing company and the end

customer. As such, the Company generally does not assume any recourse or credit risk sharing related to any of these arrangements.

The Company's cellular network carriers accounted for 36% and 42% of total trade receivables as of June 25, 2022 and September 25, 2021, respectively.

Vendor Non-Trade Receivables

The Company has non-trade receivables from certain of its manufacturing vendors resulting from the sale of components to these vendors who manufacture subassemblies or assemble final products for the Company. The Company purchases these components directly from suppliers. As of June 25, 2022, the Company had two vendors that individually represented 10% or more of total vendor non-trade receivables, which accounted for 54% and 12%. As of September 25, 2021, the Company had three vendors that individually represented 10% or more of total vendor non-trade receivables, which accounted for 52%, 11% and 11%.